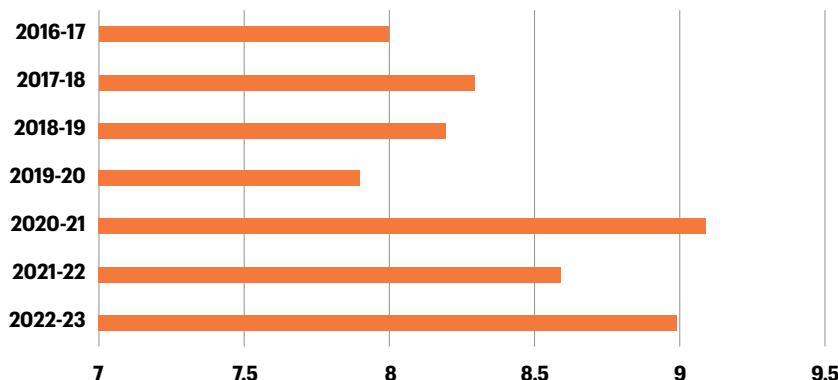


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▶ States have spent nearly 9 per cent of their revenue receipts on subsidies in the past few years ▶ A large part of state governments' expenditure is spent on subsidised or free electricity

(Subsidy expenditure as a share of revenue receipts in per cent)



SOURCE STATE OF STATE FINANCES 2023-24 BY PRS LEGISLATIVE RESEARCH



“Freebies add to the public debt burden. From day one, they impact the regular budget, public debt and the fiscal deficit. They do not add to the GDP in the current or the future period”

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because of the Covid-19 pandemic. Outstanding liabilities of states were estimated at 29.5 per cent of the GSDP at the end of 2022-23 as against 26.7 per cent at the end of 2019-20.

OVER THE PAST several years, states have spent close to 8-9 per cent of their revenue receipts on providing subsidies. States can provide subsidies on various items such as electricity, public distribution system, education, health and transportation. Subsidies form a part of revenue expenditure, which is used for largely non-capital formation items such as payment of salaries, pensions and interest liabilities, and dominates the Budget expenditure. On the other hand, capital expenditure tends to be lower but is used for capital and asset formation. Typically, high revenue expenditure is frowned upon and most governments focus on increasing capital expenditure, as is being done now, in order to boost growth. Higher subsidies can often mean a need to review the capital spending.

“A significant portion of such subsidies are spent to provide subsidised or free electricity. Concerns have been raised over rising subsidies for non-merit goods in several states. Providing such non-merit

subsidies may constrain the fiscal space available for capital expenditure,” says the PRS report authored by its researchers Tushar Chakrabarty and Tanvi Vipra. For instance, as much as 97 per cent of Rajasthan and 80 per cent of Punjab and Bihar’s total subsidy outlay went towards subsidising electricity in 2021-22.

The report has also analysed the benefits of the recent trend on financial assistance to women and notes that of the five states that are implementing or have announced cash transfers for women, all except Madhya Pradesh have budgeted for a revenue deficit in 2023-24 (see box ‘Cash Support’). “Cash transfers to women can improve their bargaining power within households. However, implementing such large-scale cash transfer schemes without rationalising existing subsidies and benefits may increase the revenue expenditure of the governments,” it has cautioned.

There are also widespread concerns about the fiscal impact of reverting to OPS or even a hybrid pension scheme that would benefit state and central government employees who joined service after 2004. Recently, a few states like Rajasthan, Chhattisgarh, Jharkhand, Punjab and Himachal Pradesh have announced a reversal to the OPS from NPS. “Internal estimates suggest that if all the state governments revert to OPS from NPS, the cumulative fiscal burden